

LIBERTY GLOBAL LTD LBTYA

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by

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2026 2027

Price:	10.00	EPS	0	0
Shares Out. (in M):	340	P/E	0	0
Market Cap (in \$M):	3,400	P/FCF	0	0
Net Debt (in \$M):	0	EBIT	0	0
TEV (in \$M):	3,400	TEV/EBIT	0	0

Description

Thesis Overview

LBTYA is a pile of cash trading at 50c on the dollar. The opportunity is to look through the noise of competition etc. and get \$1+ in a year. Corporate actions will unlock that in the next 9-12 months. Here's the thesis in one chart :



The stock is at ~\$10 vs. cash and investments at \$14 and a spun-off asset that is probably worth another \$10+. All in, we see a clear opportunity for the stock to double.

What's Happening

- Over the past 20 years, there's been a massive period of shareholder value. And John Malone has had enough. As Malone consolidates his wealth, he has been cleaning up pockets of underperformance
- In February of 2024, the company announced that they were embarking on a period of trying to pull forward value creation through sales of stakes, spin-outs, asset sales and share repurchase.
- Most notably, in November 2024, they spun out Sunrise, their Swiss asset, which was 16% of EBITDA and now trades at an ~8.5% dividend yield (~7x EBITDA). As a whole, LBTYA's remaining businesses probably should grow revenue and EBITDA anywhere from -LSD to +LSD in a normalized environment.
- We expect the Ziggo Group spin-off to be a repeat of the Sunrise spin and catalyze a realization of the hidden value at Liberty
 - To get there, there are a few transactions to clean up the structure and holdo balance sheets, which the company is well on its way in executing
- In the meantime, the company is buying back stock at 50c on the dollar, with their \$200mm incremental share repurchase authorization announced in late July

Company Overview

LBTYA is a holdco that owns cash and investments in public and private companies. Despite screening as being highly levered, there is no debt recourse to the parent entity.

- Aside from the cash and investments, LBTYA owns levered EU telco assets in the UK (50% stake in VMO2) and Ireland (100% of VM Ireland). It is highly unlikely that they throw good money after these bad assets, and invest corporate cash, so for valuation purposes, we assume zero value for them. It could be positive, but management has been pretty clear that they will not piss away capital here.
- We think these assets and where the unsecureds of VMO2 are trading (in the 60s) is a massive distraction... what matters is that they have a pile of cash and are going to spin off an asset that is worth more than \$0 per share
- The asset they are going to spin-off is Ziggo. Ziggo is another European telco asset (yes another). It is comprised of LBTYA's Belgian and Netherlands assets.
 - After cleaning up the cap table in the Netherlands asset, LBTYA now owns 90% of Ziggo, which will do ~€2.5-2.6B of EBITDA this year and cash flow of €500mm by 2028 after capex steps down to more maintenance levels and tax synergies are realized after the cap table clean up.



- LBYTA is delivering Ziggo ahead of the spin by selling stakes in Wyre, a fiber asset, for ~€300-600mm+ (50-100% sale of its 2/3 ownership) and announced the sale of Ziggo's tower assets for €670mm
 - They are well on track to deliver their targeted €1.2-1.4B of proceeds from announced asset sales
- As a result, Ziggo will be ~4.5x levered, pay a fat dividend (with favorable tax attributes to Dutch investors) and will likely trade better than option value.
 - Before I get any comments or questions on it... No, SPCX won't kill Ziggo, certainly not soon. And even if you think it does kill it, Ziggo is worth more than \$0 / LBTYA share. Here's how punitive you can be and still see that Ziggo holds meaningful value to LBTYA shares even at haircut levels of FCF and FCF yields.

							"Option Value"
							0.5 x
							EBITDA
FCF	€ 500	€ 500	€ 500	€ 500	€ 500	€ 400	
FX	1.1 x	1.1 x	1.1 x	1.1 x	1.1 x	1.1 x	
FCF	\$ 573	\$ 573	\$ 573	\$ 573	\$ 573	\$ 459	
% POR	50%	50%	50%	50%	50%	50%	
% to LBTYA	90%	90%	90%	90%	90%	90%	
Dividend	\$ 258	\$ 258	\$ 258	\$ 258	\$ 258	\$ 206	
Div yld	6.0%	7.5%	8.5%	9.5%	10.5%	16.5%	
Equity	\$ 4,301	\$ 3,441	\$ 3,036	\$ 2,716	\$ 2,458	\$ 1,250	
Per LBTYA	\$ 13	\$ 10	\$ 9	\$ 8	\$ 7	\$ 4	
Implied FCF Yld	12%	15%	17%	19%	21%	33%	
Implied EV / EBITDA	6.2 x	5.9 x	5.7 x	5.6 x	5.5 x	5.0 x	

- The Ziggo spun will also free up cash that was sitting at the subsidiary level and become unrestricted corporate cash

Putting it all together

- Stock trades at \$10 – Holdco has \$6 of cash, \$0.5 in public stakes, \$4 in large private telco / cable / datacenter assets and the remaining ~\$1.50 in private assets with a wider band of outcomes around valuation
- After decades of underperformance, management underwent a strategic shift in Feb 2024 and is focused on decomplicating the structure to create value beyond buying back 10% of the company each year and selling \$500-700m (18% of the market cap) worth of assets on their balance sheet.
 - In Nov 2024, they spun off Sunrise at an 8% dividend yield / 7.5x EBITDA vs. consolidated multiple of ~6x prior
- The Sunrise spin “created” ~\$12 in value per LBTYA shares
- While we assign no value, VMO2 could have incremental value if LBTYA can manage a transaction with Telefonica
 - Outright stake sale to TEF, which at 6x EBITDA would be \$5 per share to LBTYA (every 0.5x increase in EBITDA multiple is \$3.60 to LBTYA)
 - Splitting VMO2 into a Netco / Servco structure by selling a stake in the Netco (fiber assets) to outside investors at an accretive multiple
 - Defensive with no debt maturities until 2028

Cash Per Share				At Spin
Parent cash (1Q26)				\$ 7
Cash out (VOD + Netomnia)				(4)
Asset Sales				3
PF Cash				\$ 6
Liberty Growth / Investments Per Share				
Public Stakes				\$ 1
Private Stakes				4
LT Private Stakes				2
Remaining Wyre stake				2
PF Investments				\$ 8
RemainCo LBTYA				\$ 14
Ziggo				9
Total Value				\$ 23
Haircut (LBTYA Growth)		30%		(2)
Fair Value				\$ 20

Stakes

Public Stakes	mm sh	Price	FX	\$mm	Per Share
STRZ	0.5	\$ 25	\$ 1.0	12	
LION	7.0	\$ 11	\$ 1.0	77	
ITV LN	93.9	0.70	\$ 1.3	87	
Total				176	\$ 0.5
Private Stakes				\$mm	Per Share
Televisa Univision				299	\$ 0.9
CANAL+				78	0.2
Plume Design				57	0.2
Formula E (@ 12/25)				538	1.6
Other				400	1.2
Private Stakes				1,372	\$ 4.0
LT Equity				\$mm	Per Share
AtlasEdge JV				361	
Nexfibre JV				71	
Other				110	
Total Private LT Stakes				541	\$ 1.6

Risks:

- Value trap
- Competition increases in underlying markets, causing further FCF downgrades and still trades on “consolidated” multiple
- Inability to sell assets due to capital markets conditions or lack of demand
- Poor capital allocation using Holdco cash (buy value-destructive assets or used to delever VMO2)

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Catalyst

Spin-off, process steps leading up to spin

Messages

No messages